

Rulebook for Kristjan Qullamaggie Kullamägi

Public Trading Setups

Executive summary

Across the publicly accessible material I could verify directly, the clearest rule statements come from two official Qullamaggie blog posts and the official FAQ on his site, not from fully accessible transcripts. The January 2021 post lays out the most concrete, testable rules for all three setup families in one place: Breakouts, Episodic Pivots, and Parabolic Short or Long. The November 2021 EP deep-dive adds sharper detail for catalyst selection, scanner use, volume requirements, and some important caveats. The official FAQ adds risk, sizing, workflow, screening cadence, and a few short clarifications via Q&A and comments. The official Chat With Traders episode page confirms that the interview centered on breakouts, but the detailed transcript text was not exposed on the page itself. For one gap in the primary record — a more explicit market-regime filter — I include a clearly labeled secondary source based on timestamped stream notes. ¹

The three setups differ in how much the primary sources pin down exits. Breakouts are the most fully specified: leader scan, prior thrust, tight consolidation, opening-range-high entry, low-of-day stop capped by ATR/ADR, partial sale after three to five days, then a moving-average trail. Episodic Pivots are nearly as explicit on entry and stop: gap of at least 10%, heavy early volume, catalyst-driven revaluation, ORH entry, low-of-day stop, and a preference for stocks that have gone sideways for three to six months. But the official sources are less settled on EP exits: one page says trail with the 10- or 20-day moving average; another says to create your own sell rules and mentions 20- or 50-day trails as examples. Parabolic Shorts have very clear stretch, entry, stop, and target language, but the Parabolic Long variant is much less specified: the primary text states the premise and entry triggers, but not a distinct stop or exit protocol. ²

The money-management layer is mostly cross-setup rather than setup-specific. In primary sources, Kullamägi says he usually risks roughly 0.25% to 1% per trade, later narrows that in the FAQ to “most of the time 0.3-0.5%” and “rarely more than 1%,” with positions “generally 5%-25%” and “most being around 10-15%.” In the January 2021 setup post he also says not to carry more than 30% of the account overnight in any one stock or ETF. Those are the only explicit sizing rules I found in primary materials; there is no separate official position-size formula for Breakouts versus EPs versus Parabolics. ³

Source base and method

The primary source stack for this report is narrow but strong. The core text is Kristjan Kullamägi’s official post *3 TIMELESS setups that have made me TENS OF MILLIONS!* on Qullamaggie.com, dated on-page “January 8, 2021 / April 28, 2021,” and posted by Kristjan Kullamägi. That page contains the most concrete setup definitions, entry rules, stop rules, exit rules, and the broad cross-setup risk framework. The second primary anchor is his official post *How to master a setup: Episodic Pivots*, dated on-page November 2, 2021, also posted by Kristjan Kullamägi; this adds scanner rules, catalyst checks, volume thresholds, and EP-specific

nuances. The official FAQ adds workflow, screening cadence, risk, position size, stop execution, borrow constraints for shorts, and links back to his official or endorsed video resources. ⁴

I also used small primary comment clarifications where the author of the reply is Kristjan Kullamägi on his own site. These are useful because they tighten a few ambiguous rules: he confirms that the 10-day trail is the tighter beginner option, says he sometimes buys a breakout retrace, states that he runs his 1-month, 3-month, and 6-month scans weekly, and answers an EP entry question with “If it goes up after open you can buy.” Those are not full setup manuals, but they are still first-party clarifications attached to the official page. ⁵

I checked the official Chat With Traders episode page because the user asked for interviews and transcripts. The page confirms that Episode 212, dated February 26, 2021, is Kristjan Kullamägi’s breakout-focused interview. But the page exposes only episode metadata and a short summary, not a usable transcript. For that reason, the detailed rules below rely mainly on the official blog and FAQ text. I use one clearly marked secondary source — Kyna Kosling’s timestamped stream notes from December 2023 — only for broader market-regime context that is not fully explicit in the primary text set reviewed here. ⁶

Cross-setup comparison

Setup	Entry	Stop	Exit	Sizing	Regime	Primary source basis
Breakout	Find leaders in top 1–2% of 1m/3m/6m performance; require prior 30–100% run in last 1–3 months, then 2-week to 2-month tight consolidation; enter on opening-range highs or daily breakout. ⁷	Low of day; stop should not exceed the stock’s ATR or ADR. ⁷	Sell one-third to one-half after 3–5 days; move stop to breakeven; trail rest by 10DMA or 20DMA; beginner default is 10DMA. ⁸	General rules only: usually 0.25–1% risk in the January 2021 post; FAQ says most of the time 0.3–0.5%, rarely >1%; positions usually around 10–15%, sometimes 5–25%; no more than 30% overnight in one name. ⁹	Best documented in bullish conditions; one official line explicitly says breakout payoffs expand in a bullish market. Exact market filter is otherwise unspecified in primary text. ⁷	

Setup	Entry	Stop	Exit	Sizing	Regime	Primary source basis
Episodic Pivot	Gap up at least 10%; heavy early volume, ideally average daily volume traded in first 15–30 minutes; catalyst must force revaluation; for earnings EPs, strong EPS/revenue growth and preferably a beat; best when stock was sideways for 3–6 months; enter ORH. ¹⁰	Low of day; in EP deep-dive, stop should be no more than 1x to 1.5x ADR or ATR. ¹¹	Ambiguous across primary sources: one official page says trail with 10DMA or 20DMA; the EP deep-dive says create your own sell rules and gives 20DMA or 50DMA as examples. ¹²	Same general sizing rules as above; EP text also allows adding through the day, including adding on 5-minute highs after a 1-minute entry. ¹³	Officially described as the most infrequent setup, clustered in concentrated 3–4 week windows each quarter, especially around earnings seasons. ¹⁴	

Setup	Entry	Stop	Exit	Sizing	Regime	Primary source basis
Parabolic Short or Long	Short: stock up 50–100%+ in a few days or weeks, or 300–1000%+ in a small cap; usually 3–5+ up days in a row; enter ORL, first red 5-minute candle, or VWAP-fail entry. Long: after a successful parabolic short breaks down 50–60% + in a few days; enter ORH, first green 5-minute candle, or upside range break. ⁷	Short: high of day, or VWAP reclaim after a VWAP-fail entry. Long: unspecified in primary sources reviewed. ⁷	Short: target the 10DMA or 20DMA zone. Long: official text says these can bounce 50–100% in a few days, but no separate formal exit rule is given. ⁷	Same general account-risk rules apply, but no setup-specific formula is given. Parabolic is explicitly called the riskiest setup, and the FAQ notes that hard-to-borrow names may require expensive locates. ¹⁵	Exact broad-market filter is unspecified in primary rules. The main condition is local price overextension; for shorts, patience and timing are stressed more than market trend. ⁷	

Breakout rulebook

Setup name.

Source. *3 TIMELESS setups that have made me TENS OF MILLIONS!* — Kristjan Kullamägi, page dated January 8, 2021 / April 28, 2021, posted by Kristjan Kullamägi. ⁷

Entry conditions.

Original wording: “Scan for the 1 or 2% of stocks,” “A big move higher,” “orderly pullback,” and “Enter on the opening range highs.” ⁷

My interpretation: a Breakout candidate is a current relative-strength leader drawn from the top one to two percent of stocks on 1-month, 3-month, and 6-month performance scans. It should already have made a meaningful thrust — roughly 30% to 100% or more in the last one to three months — then formed a controlled pause with higher lows and a tightening range for about two weeks to two months. The trigger is a range expansion through the consolidation high, ideally bought through an opening-range-high break on

the 1-minute, 5-minute, or 60-minute opening range. Kullamägi explicitly allows a daily-chart breakout entry if the stock is already starting to break out and also says anticipation entries exist, but he considers them less effective and more skill-dependent. ⁷

Stop placement.

Original wording: “Stop is always lows of the day” and it “should not be wider than the ATR or ADR.” ⁷

My interpretation: the initial hard stop belongs at the breakout day’s low, not below the larger base. He is trying to keep the initial risk unit tight enough that the expectancy of a fast-moving winner can overwhelm the inevitable failures. The additional ATR/ADR cap means that even if the day’s low is technically intact, the trade should be skipped or reduced if the required stop is wider than the stock’s normal daily movement. ⁷

Exit rules.

Original wording: “sell 1/3 to 1/2 ... after 3-5 days,” “move the stop to break even,” and trail “with the 10- or the 20-day moving average.” A later comment confirmation replies, “Yes, exactly right!” to the interpretation that the 10-day is the tighter beginner choice and the 20-day is the looser, more discretionary choice. ⁸

My interpretation: the official Breakout exit protocol is the cleanest of the three setups. The base version is: take partial profits after three to five trading days, reduce risk by moving the remainder to breakeven, then hold the rest until the first close below the chosen moving average. The 10-day trail is the mechanically tighter version; the 20-day trail is the looser version intended for slower movers or traders comfortable giving more room. ⁸

Position sizing guidance.

Original wording: in the January 2021 setup post, “never have more than 30% of your account over night,” “Most of my positions are 10-20%,” and risk is “usually 0.25-1%.” In the FAQ, “Most of the time 0.3-0.5%. Rarely more than 1%,” and position size is “Generally 5%-25% with most being around 10-15%.” ⁹

My interpretation: the primary sources describe a risk-budget framework, not a setup-specific formula. A practical translation is: decide the dollar risk first, based on a typical risk budget of about 0.3% to 0.5% of equity and rarely above 1%; divide that by entry minus stop distance to get shares; then check that the resulting position does not break his concentration limits, especially the “no more than 30% overnight in one name” rule. The mild differences between the January post and the FAQ look like normal variation over time, not a different setup doctrine. ⁹

Market-regime comments.

Original wording: “In a bullish market it is very common to get moves that are 10-20x+ your initial risk.” A secondary stream-notes source quotes Kristjan: “Good setups, in good markets,” and “You can trade, like, 20–30% of the year.” ¹⁶

My interpretation: the primary literature says plainly that Breakouts pay best in bullish conditions, but it does not give a full official market-filter algorithm. The secondary stream note suggests a practical regime rule — trade hard when the market is trending up and sit on your hands much of the rest of the year — but since that comes through a secondary source rather than an official transcript page, I treat it as supportive rather than definitive. ¹⁶

Watchlist construction.

Original wording: “You need to have a watchlist ready before the market open”; “Scan for the 1 or 2%” on 1-, 3-, and 6-month performance; in a comment he says the scan frequency is “Weekly”; in another comment, “Focus on scans.” ¹⁷

My interpretation: the Breakout watchlist is built from relative-strength scans, refreshed at least weekly, then narrowed to stocks currently setting up tight consolidations above rising short-term moving averages. The “focus on scans” reply suggests he prefers repeatedly mining the current leader list rather than maintaining a broad static inventory of old leaders that have drifted away from the scans. ¹⁸

Known variants.

Original wording: “Holy Grail,” “hight tight flags,” “flat channels, symmertrical and descending triangles.” In a comment reply: “Sometimes I buy the retrace.” ¹⁹

My interpretation: the official Breakout family is not one exact chart geometry. It covers a cluster of continuation structures whose shared logic is the same: a leader pauses in an orderly way, volatility tightens, then price expands through resistance. The retrace comment shows that if the initial breakout is missed, he is at least sometimes willing to treat a clean pullback toward the breakout area as a valid secondary entry, but that is a variant, not the base rule. ¹⁹

Episodic Pivot rulebook

Setup name.

Sources. *How to master a setup: Episodic Pivots* — Kristjan Kullamägi, page dated November 2, 2021, posted by Kristjan Kullamägi. Also *3 TIMELESS setups that have made me TENS OF MILLIONS!* — Kristjan Kullamägi, dated January 8, 2021 / April 28, 2021. ²⁰

Entry conditions.

Original wording: “gap up of 10% or more,” “massive volume near the open,” “wait for the opening range highs,” “big growth numbers,” and “best if the stock has not rallied over the past 3-6 months.” In the EP deep-dive, “The best EPs are on stocks ones that have gone sideways for 3-6 months or more.” ¹⁰

My interpretation: the base EP rule is a catalyst gap, not a chart-base breakout. The stock must reprice sharply, by at least about 10%, on a catalyst that plausibly forces institutions to rethink value. For earnings EPs, the most favored version in primary text, that means strong EPS and revenue growth and preferably a meaningful analyst beat or guidance raise. The intraday trigger is still mechanical: buy the opening-range-high break once volume is clearly there. The highest-quality examples are names that were neglected or dormant before the catalyst rather than already extended after a multi-month run. ¹⁰

Stop placement.

Original wording: “Stop is always at the lows of the day,” and “Make sure your stop is no more than 1x, or maximum 1.5x” ADR or ATR. ²¹

My interpretation: the official EP stop is the day’s low, but the EP deep-dive adds a practical width constraint that is slightly more permissive than the Breakout wording. If the low-of-day stop forces risk wider than roughly 1 to 1.5 times normal daily range, the setup no longer fits the method cleanly. That makes EP risk

control similar to Breakouts but with a bit more flexibility because the catalyst gap itself can create unusually wide intraday structure. ²¹

Exit rules.

Original wording from the January 2021 post: “Trail your stop with the 10- or 20-day moving average once they surpass your initial stop.” Original wording from the November 2021 EP post: “Create your own sell rules. You can trail these with the 20- or 50-day moving average.” ¹²

My interpretation: this is the main inconsistency in the official record. The earlier multi-setup post presents a fairly concrete EP trail — 10DMA or 20DMA once it overtakes the original stop. The later EP-specific post becomes less prescriptive and explicitly pushes the trader to build personal sell rules, mentioning 20DMA or 50DMA as examples. The most rigorous reading is that the official EP entry and stop rules are hard rules, while the official EP exit is partly open architecture. For this reason, the rulebook should treat EP exits as a family of allowed moving-average trails rather than a single settled rule. ¹²

Position sizing guidance.

Original wording: “many times if i bought the 1-minute highs I may add on the 5-minute highs also to get more confirmation and more size.” General position-risk rules in the FAQ remain “Most of the time 0.3-0.5%. Rarely more than 1%.” ¹³

My interpretation: EP lets him pyramid intraday confirmation into the position more openly than Breakouts are described. The foundational sizing logic still comes from the same account-risk framework, but the deep-dive shows that he may start with a 1-minute ORH fill and then add on 5-minute confirmation if the tape continues to validate the catalyst. That is a tactical add rule, not a separate portfolio-risk rule. ¹³

Market-regime comments.

Original wording: “EP is the most infrequent” and they occur during “a concentrated period of 3-4 weeks every quarter.” Elsewhere on the same page: “there will be a proliferation of these setups over the next 2-3 weeks” as earnings season approaches. The EP article also notes that these moves can occur while much of the broader market goes sideways. ¹⁴

My interpretation: official EP timing is event-clustered rather than continuously distributed. The most practical regime comment is not “bull market only,” but “earnings and catalyst windows matter.” At the same time, the deep-dive argues that strong EPs can produce large moves despite uninspiring action in the average stock, which makes EP less dependent on a perfect broad tape than simple continuation breakouts. Exact broad-index filter: unspecified in the primary sources reviewed. ²¹

Watchlist construction.

Original wording: “First you need a scanner to find stocks gapping higher in extended hours”; “Then you need yo check the news or catalyst”; “During earnings season only: ... start checking for earnings winners that are gapping up.” The FAQ also says he starts watching “pre-market movers” and “big gappers.” ²²

My interpretation: the EP watchlist is catalyst-first. The operational sequence is: run an extended-hours gap scanner, inspect the news, verify the catalyst quality, then check whether the numbers and volume support a genuine revaluation. For earnings EPs, the task list is especially concrete: find gapper, confirm EPS/revenue growth, check beat or guidance, check early volume, then execute through ORH if the stock continues to act well after the open. ²²

Known variants.

Original wording: “political and regulatory,” “FDA and biotech,” “contracts and partnerships,” “earnings and earnings guidance,” and “sector EP.” The same post adds that he tends to avoid names that “already had a second EP recently.” ²¹

My interpretation: “EP” is a setup class built around one mechanism — surprise news forcing revaluation — with multiple catalyst subtypes. Earnings and guidance are the preferred subtype because they are easier to read and screen. The “second EP” caution functions like a freshness filter: once the market has already repriced the story recently, a new gap may have less surprise value and a poorer payoff distribution. ²¹

Parabolic Short and Parabolic Long rulebook

Setup name.

Sources. *3 TIMELESS setups that have made me TENS OF MILLIONS!* — Kristjan Kullamägi, page dated January 8, 2021 / April 28, 2021, posted by Kristjan Kullamägi. FAQ for short-borrow and general risk caveats. ²³

Entry conditions.

Original wording for the short: “A stock up 50-100%+ in a few days or weeks” or “300-1000%+” in smaller caps; “up 3-5+ days in a row”; entry can be on “opening range lows,” the “first red 5-minute candle,” or a bounce into VWAP that fails. Original wording for the long: after a successful parabolic short falls “50-60%+ in a few days,” entry is “opening range highs or the first green 5-minute candle or any range break to the upside.” ⁷

My interpretation: the Parabolic Short is a stock-specific mean-reversion short, not a valuation short. The stock must already be in an extreme, emotionally crowded burst higher, usually with several consecutive up days. Then the trade waits for actual intraday weakness: either an ORL break, a first red 5-minute reversal, or a failed VWAP bounce. The long version is a second-order reversal: once the parabolic unwind becomes extreme, the same crowding logic flips and the setup looks for reflex rebounds. ⁷

Stop placement.

Original wording for the short: “The stop is highs of the day or if VWAP fail, a reclaim of the VWAP.” General execution guidance in the FAQ: “I always use market stops, never limit stops.” For the parabolic long, I found no separate stop instruction in the primary sources reviewed. ²⁴

My interpretation: the short stop is entry-structure specific. If the trade is taken on ORL weakness, the practical invalidation point is the day’s high; if the entry is a VWAP-fail short, the invalidation is a reclaim of VWAP. That is explicit and mechanically testable. For the long, any stop rule beyond “unspecified in the primary sources reviewed” would go beyond the available official text and should not be presented as Kullamägi’s rule. ²⁴

Exit rules.

Original wording for the short: “The target area is the 10- and 20-day moving averages.” Original wording for the long: “These things can bounce 50-100% in a few days.” ⁷

My interpretation: the short has a clearly defined mean-reversion target zone — the 10DMA and 20DMA, where these names “usually bounce.” That is not the same as an open-ended trend-following exit. The long

variant is less fully codified: the official text tells you the expected rebound magnitude, but not an equally explicit stop or trailing method. So the long side is publicly documented as a premise plus entry logic, not as a fully finished standalone playbook. ⁷

Position sizing guidance.

Original wording: the setup is “by far the riskiest setup,” while FAQ risk guidance says trades depend on “liquidity,” “conviction,” and “overall riskiness of the stock.” The FAQ also notes that he can short some names because he has access to “very good ... locates” that many retail traders do not. ¹⁵

My interpretation: there is no explicit parabolic-only size formula in the primary sources, but the combination of “riskiest setup,” generic account-risk caps, and short-borrow constraints strongly implies that size should be subordinated to borrow access, liquidity, and stop width. In practice, the same portfolio-risk math applies, but Parabolic Shorts are the least forgiving if a trader cheats on stop discipline or borrow reality. ¹⁵

Market-regime comments.

Original wording: “Don’t be too early. WAIT for the right setup.” The page also says the parabolic setup is more like “5-10x risk reward,” while Breakouts and EPs can sometimes produce far larger multiples. The FAQ separately notes his largest losses often come when he shorts things. ⁹

My interpretation: unlike Breakouts, the Parabolic setup is not framed around a broad bullish tape. Its regime condition is local overextension in the individual stock. The important caution is timing: the trader waits for the actual intraday crack rather than front-running a blowoff. The official material also implies that even when done well, Parabolic Shorts are more tactical and bounded than the open-ended swing continuation setups. Exact broad-market filter: unspecified. ⁹

Watchlist construction.

Original wording: for the short, the stock must already be up “50-100%+” very quickly, or “300-1000%+” if smaller, and be up “3-5+ days in a row.” For the long, watch for a completed breakdown of “50-60%+ in a few days.” The FAQ says he checks “pre-market movers” and “big gappers” into the open. ²⁵

My interpretation: the publicly testable scan logic is direct: screen for the market’s most vertically extended multi-day movers, then narrow to those showing opening weakness and tradable borrow. For the long variant, invert the scan after a violent collapse. The official sources do not add a more elaborate parabolic-specific watchlist routine beyond those conditions. ²⁵

Known variants.

Original wording: “Most of these are short setups, but sometimes there are also good long setups.” Also: “some just explode from nowhere.” ⁷

My interpretation: the official public version treats Parabolic Long as a less common sibling of the core short setup, not as equal-footing doctrine. The short side is the base case; the long side exists when the unwind itself becomes absurd enough to form a rubber-band bounce. Beyond that, the official text does not subdivide the setup into further named variants. ⁷

Source register

The citations below are the links to the sources used.

Primary sources

3 TIMELESS setups that have made me TENS OF MILLIONS! — Kristjan Kullamägi; on-page date January 8, 2021 / April 28, 2021; official Qullamaggie site. This is the core source for all three setup families. ⁷

How to master a setup: Episodic Pivots — Kristjan Kullamägi; on-page date November 2, 2021; official Qullamaggie site. This is the core EP-specific source. ²⁶

Frequently Asked Questions — official Qullamaggie site. No separate byline appears on the page, but it is published on the official site and links directly to his own resources. This is the main source for workflow, position risk, position size, stop execution, and borrow remarks. ²⁷

Comment reply by Kristjan Kullamägi on the *3 TIMELESS* page, dated February 24, 2021: “Sometimes I buy the retrace.” Useful for breakout variants. ²⁸

Comment reply by Kristjan Kullamägi on the *3 TIMELESS* page, dated July 29, 2021: “Weekly.” Useful for scan cadence. ²⁹

Comment reply by Kristjan Kullamägi on the *3 TIMELESS* page, dated July 29, 2021: “Yes, exactly right!” Useful for interpreting 10DMA versus 20DMA trail choice. ³⁰

Comment reply by Kristjan Kullamägi on the *3 TIMELESS* page, dated July 29, 2021: “If it goes up after open you can buy.” Useful for EP entry clarification. ³¹

212: Kristjan Kullamägi – Breakouts, Home Runs & Exponential Returns — Chat With Traders; dated February 26, 2021. I used this to verify the official interview page and its breakout focus; detailed rule extraction was limited because the accessible page did not expose transcript text. ³²

Secondary source

Kullamaggie Stream Notes: 1 December 2023 — Kyna Kosling; dated Dec. 2, 2023; Trading Resource Hub on Substack. Used only for supplementary regime context and labeled as secondary because it is a third-party reconstruction of a stream with timestamped excerpts, not an official transcript page. ³³

¹ ² ⁴ ⁵ ⁷ ⁸ ⁹ ¹² ¹⁵ ¹⁶ ¹⁷ ¹⁸ ¹⁹ ²³ ²⁴ ²⁵ ²⁸ ²⁹ ³⁰ ³¹ ³ ²⁷ *3 TIMELESS setups that have made me TENS OF MILLIONS! - Qullamaggie*

<https://qullamaggie.com/my-3-timeless-setups-that-have-made-me-tens-of-millions/>

³ ²⁷ *Frequently Asked Questions - Qullamaggie*

<https://qullamaggie.com/faq/>

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<https://chatwithtraders.com/episode/212-kristjan-kullamagi-breakouts-home-runs-exponential-returns>

10 11 13 14 20 21 22 26 How to master a setup: Episodic Pivots - Qullamaggie

<https://qullamaggie.com/how-to-master-a-setup-episodic-pivots/>

33 Qullamaggie Stream Notes: 1 December 2023 - by Kyna Kosling

<https://tradingresourcehub.substack.com/p/qullamaggie-stream-notes-1-december>